+254 711-047-000
www.aib-axysafrica.com
research@aib-axysafrica.com

AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- After five consecutive weeks of losses, Wall Street staged a rebound, with other major global markets following suit and closing broadly in positive territory. The shift in sentiment came after US President Trump announced plans to wind down military operations in the Middle East within the next 2 to 3 weeks. This development provided relief to equity markets, which had been under pressure since the onset of the conflict, while bond yields eased across most markets.
- In the commodities space, US WTI crude oil rose 12.5% over the week, as markets continued to price in potential supply disruptions. Uncertainty remains elevated, particularly around the Strait of Hormuz, where stability is yet to be restored. A prolonged conflict in the region raises the risk of sustained inflationary pressures, slower global economic growth, and margin compression for corporates, especially those with significant exposure to energy costs. Net oil-importing regions such as Asia and Europe are likely to face heightened economic strain under such conditions.
- On the macro front, US labour market data came in stronger than expected. The economy added 178,000 jobs in March, significantly above the consensus estimate, while the unemployment rate edged lower to 4.3% from 4.4%. Job creation was primarily driven by the health and social assistance sector, which recorded 89,900 new positions. The stronger labour market print is likely to support market sentiment as trading resumes this week.

• Select Global Market Indices

Indices	Current	Previous	w/w % chang
S & P 500	6,583	6,369	▲ 3.4%
DAX	23,168	22,301	▲ 3.9%
Nikkei 225	53,123	53,373	▼ (0.5%)
Hang Seng	25,117	24,952	▲ 0.7%
FTSE 100 (FTSE)	10,436	9,967	▲ 4.7%
Dow Jones	46,505	45,167	▲ 3.0%
Median			▲ **3.2%**

Source: Investing.com AIB AXYS Research

- Global equity markets rebounded after a period of sustained losses, closing the week with a median return of 3.2%, a reversal from the prior week's median decline of 0.5%. In the US, markets snapped a five-week losing streak that had followed the onset of the Middle East conflict, recouping part of the earlier losses. In a shortened trading week, the S&P 500 gained 3.4%, supported by strength in the technology and energy sectors. The Dow Jones Industrial Average rose 3.0%, while the NASDAQ Composite advanced 4.8%, driven largely by gains in technology stocks.
- Across Europe, major markets also closed higher. The FTSE 100 climbed 4.7%, supported by gains in banking, airlines, and key blue-chip stocks, as investor sentiment improved following indications from US President Trump that military operations in the Middle East may ease. Germany's DAX mirrored the broader trend, rising 3.9% over the week.
- In Asia, performance was more mixed. Hong Kong's Hang Seng Index edged up 0.7%, while Japan's Nikkei 225 declined by 0.5%.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.32%	4.44%	▼ (11.8bps)
UK 10 Yr Gilt	4.78%	4.92%	▼ (14.4bps)
Germany 10 Yr Bund	3.00%	3.10%	▼ (10.8bps)
Japan 10 Year Bond	2.39%	2.38%	▲ 0.5bps

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond yields declined across major markets following reports that the US may begin winding down military operations in the Middle East. In the US, the 10-year Treasury yield fell by 11.8 bps to 4.32%. A series of stronger-than-expected data releases, including private payrolls for March and retail sales for February, supported market sentiment. Additional labour market data released later in the week showed job gains of 178,000, while the unemployment rate declined to 4.3%. Ahead of the upcoming Federal Reserve meeting, markets are largely pricing in a hold on interest rates.
- In Europe, the UK's 10-year gilt yield settled at 4.78%. Yields trended lower earlier in the week but reversed some of the gains after renewed geopolitical concerns. Comments by Donald Trump suggesting a potential escalation of attacks on Iranian electrical infrastructure dampened earlier optimism around de-escalation, pushing yields higher toward the end of the week. Despite this, yields remained lower on a weekly basis. Markets are currently pricing in at least two rate hikes later in the year, driven by concerns over inflationary pressures stemming from potential disruptions to global oil supply. Meanwhile, Germany's 10-year Bund yield declined by 10.8 bps to 3.00%.
- In Asia, Japan's 10-year government bond yield edged higher by 0.5 bps to settle at 2.38%.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.6891	0.6873	▲ 26bps
USD/JPY	159.590	160.320	▼ (46bps)
GBP/USD	1.319	1.326	▼ (50bps)
EUR/USD	1.152	1.151	▲ 6bps
US Dollar Index	99.99	99.98	▲ 1bps

Source: Investing.com AIB AXYS Research

- The US dollar posted a modest gain of 1 bps to 99.99 from 99.98. Notably, Japanese Yen appreciated 46 bps, with the USD/JPY pair closing the week at 159.590.

CONTACTS

Research Desk
Email: research@aib-axysafrica.com

Offshore Products & Global Markets
Email: invest@aib-axysafrica.com

Equities Dealing
Email: trading@aib-axysafrica.com

Bond Dealing
Email: trading@aib-axysafrica.com

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